Investment Committee Agenda
March 2026

BWA
BOUTIQUE WEALTH AUSTRALIA

23 March 2026
1pm AEDST via Zoom

Attendees: Chris MacEachern, Dan Rake, Chris Lioutas, Stuart Maunder, Tess Brennan, Toby Lewis, Will Allen, Jayden Ribarovski, Hazir Hilmy, April Harper, Hayden Beamish

Apologies:

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1. Review of Minutes (January 2026)

- Refer to notes for proposed changes

2. Actions from last IC Meeting

#	Action	Responsible	Due
1	Circulate summary of all approved portfolio changes to committee members for final review	Daniel Rake	**Complete**
2	Implement approved changes: Macquarie Small Companies shift, NASDAQ 3% allocation (Growth), Robeco allocation (Core Satellite), Defensive portfolio rebalancing	Daniel Rake	**Complete**
3	Research lower-cost emerging markets option for Core Satellite portfolio (target ~25–30bp)	Chris Lioutas / Toby Lewis	**Completed** – for discussion today

3. Portfolio Reviews & Other Business

- Performance updates on all 5 managed funds.
- Hedging update/review
- Monitoring: GQG (both funds), Macquarie P/E Alpha, Aspect Diversified, 4D Infrastructure
- Platform & compliance updates – ESG ratings

4. Matters Arising from Previous Minutes

- Nil other than minutes per above

5. Decision Items

Discuss and decide on action

BWA

Investment Committee Meeting

Minutes

Date:	Monday, 23 February 2026
Time:	1:00 PM AEDT
Location:	Via Zoom
Attendees:	Daniel Rake (Chair), Chris Lioutas, Toby Lewis, Tess Brennan, Chris Maceachern, Stuart Maunder, Will Allen
Apologies:	Hayden Beamish

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1. Market Overview and Economic Outlook

Chris Lioutas provided an overview of current market conditions and the committee discussed the macro environment.

1.1 Equity Markets

- A sizable rotation is underway, with technology and software stocks coming under pressure while previously unloved sectors (consumer staples, utilities, European equities, emerging markets) are seeing renewed interest.
- The committee maintains a broadly slight underweight to Australian and global equities at an overall level, but favours specific areas within those markets.
- Quality as a factor is viewed as attractively priced following the sell-off in H2 2025 and early 2026, offering good buying opportunities both domestically and offshore.
- Small caps, value, and emerging markets are seen as offering relative value, with higher conviction on emerging markets than on small caps and value.
- Australian bank valuations were flagged as a concern, trading at 25x forward earnings with a grossed-up dividend yield of 3.3% versus a cash rate of 3.85%.

1.2 Property and Infrastructure

- The committee is more constructive on listed property and infrastructure. Infrastructure has delivered a solid 12 months, and commercial property appears to be normalising post-COVID with high construction costs creating barriers to entry.

1.3 Fixed Income

- Slightly less constructive on bonds than 12–18 months ago, though starting yields remain attractive.
- Australian 10-year bonds viewed as attractive. US 10-year at around 4–4.05% seen as less compelling than at the recent 4.25% level.
- Committee noted hawkish risk from the Federal Reserve, with FOMC minutes surprising to the hawkish side.

1.4 Currency

- The Australian dollar is viewed as having upside from here, supported by interest rate expectations, trade differentials, and commodity pricing, provided that risk-off sentiment does not extend broadly beyond the software sector.

1.5 Macro Environment

- US Q4 GDP came in at an annualised 1.4%, partly affected by the government shutdown. Consumer spending was below 2% annualised.
- Employment is weakening, with job ads moving to the downside.
- Inflation risks discussed: Toby Lewis noted tariff-related price increases still to come through, though central banks remain vigilant. Will Allen referenced Chris Joy's view that AI may be inflationary in the next 12–18 months.
- Earnings growth acceleration in the short term is being driven by cost control and price increases rather than volume growth, raising questions about sustainability.

2. Portfolio Performance Review

Chris Lioutas reviewed the current portfolio positioning across all BWA portfolios.

- Australian small cap managers: Performance divergence driven by resources exposure. The committee holds three small cap managers providing a balanced exposure – one heavily weighted to materials/resources (~60%), one that cannot own them, and one in between.
- Global equities: GQG had a weak January but February performance has been significantly more positive as the market rotation benefits their positioning. L1 Capital had a poor January on stock-specific issues.
- Property and infrastructure: Strong bounce in January, with 4D Global Infrastructure the standout performer.
- Fixed income: A healthy month across the board in January.
- Macquarie P/E FX Alpha: Another poor January noted. To be monitored.
- ESG portfolio: Under pressure due to structural overweight to tech/growth and underweight to materials/resources.
- Core and Growth portfolios: Outperforming relative to their strategic asset allocation, benefiting from the rotation into small caps and strong emerging markets performance.

3. Investment Decisions

3.1 Macquarie Small Companies vs BetaShares Small Cap ETF (SMLL)

The committee considered whether to replace the Macquarie Australian Small Companies Fund with the lower-cost BetaShares Small Cap ETF (SMLL), given that SMLL had matched or slightly outperformed Macquarie over the trailing 12 months and 3 years.

Discussion:

- Chris Lioutas noted that on a head-to-head basis across a range of metrics (information ratio, Sharpe ratio, volatility, tracking error), Macquarie outperforms convincingly. The recent outperformance of SMLL has been driven by its rules-based overweight to resources and materials, which could reverse quickly.
- Macquarie operates a multi-factor quant model that can pivot towards resources if the trend is sustained, providing flexibility that the simpler rules-based ETF lacks.
- Over 5 years, Macquarie is approximately 300 basis points ahead of BetaShares.
- Toby Lewis agreed, noting Macquarie's consistent outperformance from its multi-factor strategy.
- The fee for Macquarie Small Companies is 60 basis points (after MPF discount from 90bp), plus a performance fee, reduced to 49 basis points net.

Resolution: The committee unanimously resolved to retain the Macquarie Australian Small Companies Fund and proceed with the previously proposed shift from Macquarie True Index Australian Shares (large cap) into Macquarie Small Companies.

3.2 NASDAQ ETF Allocation – Growth Portfolio

The committee debated whether to allocate 3% of the Growth portfolio to a BetaShares hedged NASDAQ ETF, funded from the GQG reduction.

Arguments in favour:

- Technology companies will be the first adopters and beneficiaries of AI, with cost reductions from AI-driven coding and automation flowing through to earnings in the near term (1–3 years).
- The NASDAQ has a strong long-term track record across 1, 3, 5, and 10-year periods, outperforming active managers and other indices.
- Major tech companies (Google, Microsoft, NVIDIA) are expected to meet or beat expectations at the next reporting season.
- The allocation is small (3%) and can be reviewed monthly; it is an active index bet rather than a speculative position.

Arguments against:

- Existing portfolio exposure already includes significant technology weighting through index and active managers. The portfolio is only ~6–7% underweight tech, which could be closed by active managers repositioning.
- Tech mega-caps are largely flat year-to-date rather than discounted; they need to dramatically exceed (not merely meet) earnings expectations to justify current valuations.
- Historical precedent suggests that the companies doing the most AI capex (the "railroad builders") are not always the primary beneficiaries of transformative technologies.

- NASDAQ short-term technical indicators are weak, with sell-side consensus expecting peak earnings growth to decelerate from 27–28% to 16% over the next 2–3 years.
- Emerging markets offer comparable or higher earnings growth (25%, 21%, 27% over 3 years) at nearly half the valuation (18x vs 35x).
- Reduced share buyback capacity as capex shifts to AI infrastructure.

Vote:

Member	NASDAQ	Robeco
Daniel Rake	Yes	
Chris Maceachern	Yes	
Stuart Maunder	Yes	
Chris Lioutas		Yes
Tess Brennan	Abstained due to Ironbark Fund	

Resolution: Daniel Rake (Chair) confirmed the decision to proceed with a 3% allocation to the NASDAQ ETF in the Growth portfolio.

3.3 Core Satellite Portfolio – Global Equities Allocation

The committee agreed that for the Core Satellite portfolio, the equivalent 4% global equity allocation (from the same GQG reduction) will be directed to Robeco Enhanced Index rather than the NASDAQ ETF, given the closeness of the decision and tilted by the fee comparison v upside given the fee budget available for the Core Satellite fund.

Resolution: Unanimously agreed to allocate to Robeco Enhanced Index in the Core Satellite portfolio.

3.4 Previously Approved Changes – Confirmed

The committee confirmed the changes agreed at the prior meeting remain in effect:

- Reduce GQG Partners Global Equity allocation by 2.5% and GQG Emerging Markets by 2% across Growth and Blended Growth portfolios.
- Shift exposure from Australian large cap (Macquarie True Index) into small caps (Macquarie Small Companies).
- Fund increased Pazina/emerging markets exposure and global equity re-allocation from the above reductions.

3.5 Defensive Portfolio Changes – Confirmed

The committee confirmed the previously proposed defensive portfolio changes:

- Reduce the Realm Short Term Income Fund allocation.
- Reallocate proceeds to Macquarie Sub-Debt and Colchester Emerging Markets (positions were too small).
- Macquarie Sub-Debt noted as having average credit ratings of BBB/BBB+ versus SUBD at A–, providing a slightly higher yield pickup from a broader investment universe.
- FSUB (floating rate subordinated debt) noted as a potential future consideration once ratings approval is received (expected imminently), but not at appropriate levels currently.

4. ESG Portfolio Discussion

Daniel Rake raised a question from an advisor regarding ESG portfolio underperformance.

- Chris Lioutas explained that ESG portfolios are structurally overweight tech/growth and underweight materials/cyclicals due to ethical screens. In the current environment where growth/tech stocks are under pressure and resources are outperforming, underperformance is a natural consequence of those screens.
- The committee agreed this is a timing issue rather than a portfolio construction problem. Going back 2–3 years, ESG portfolios were outperforming strongly when growth stocks were in favour.
- The committee does not recommend softening the ESG approach. Clients who invest in ESG need to accept the cyclical underperformance that comes with excluding materials and resource stocks.
- Chris Lioutas suggested that periods of ESG underperformance are a good opportunity for advisors to reaffirm client beliefs and confirm whether ESG remains their priority or whether they should consider the Core portfolio instead.

Resolution: Confirmed the previous proposed changes to the ESG Growth Portfolio.

5. Research Action: Emerging Markets – Core Satellite

The committee noted the Core Satellite portfolio is underweight global emerging markets. Chris Lioutas and Toby Lewis were asked to research a lower-cost emerging markets option suitable for the Core Satellite portfolio, targeting a fee of around 25–30 basis points.

6. Current Portfolio Summary (as at 20 February 2026)

Portfolio	Total Holdings	Net Flows (WTD)
BWA Blended Growth	$88.5m	-$950,301
BWA Defensive	$247.2m	+$771,796
BWA Growth	$321.0m	-$3,234,546
BWA Core	$607.4m	+$4,502,910
BWA ESG	$32.0m	-$11,965

All portfolios are within their liquidity guidelines. No close-ended investments or settlement periods greater than 45 days.

7. Action Items

#	Action	Responsible	Due
1	Circulate summary of all approved portfolio changes to committee members for final review	Daniel Rake	Immediate
2	Implement approved changes: Macquarie Small Companies shift, NASDAQ 3% allocation (Growth), Robeco allocation (Core Satellite), Defensive portfolio rebalancing	Daniel Rake	Immediate
3	Research lower-cost emerging markets option for Core Satellite portfolio (target ~25–30bp)	Chris Lioutas / Toby Lewis	Next meeting